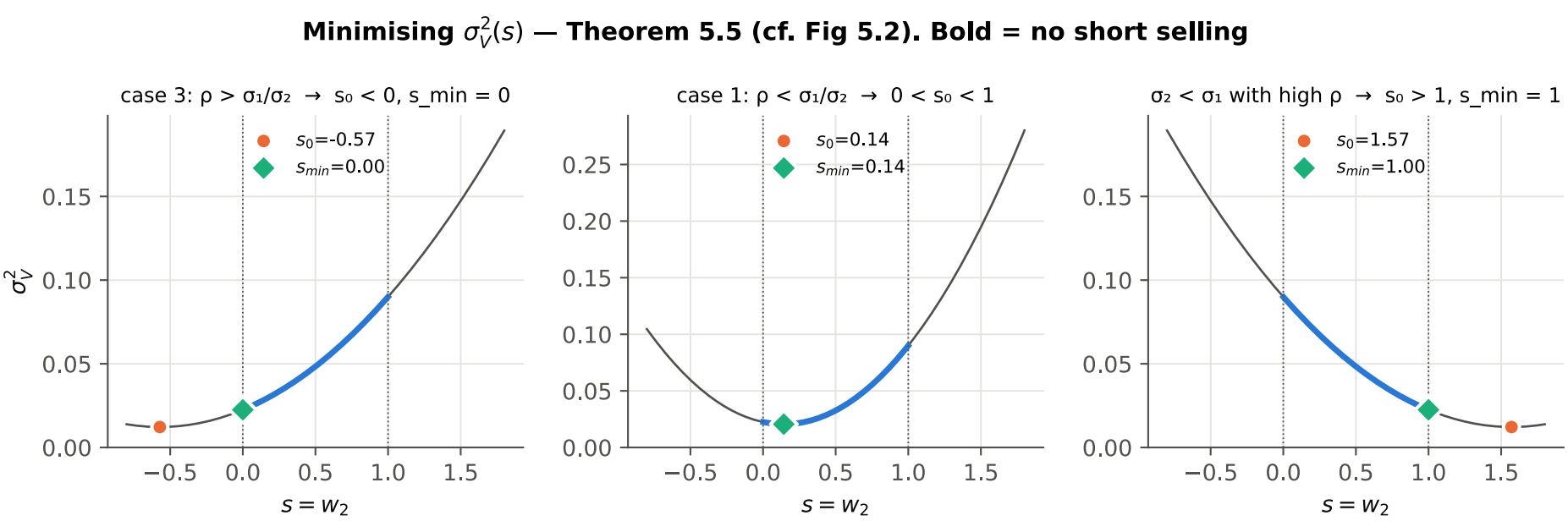

Minimising $\sigma_V^2(s)$ — Theorem 5.5 (cf. Fig 5.2). Bold = no short selling
case 3: ρ > σ₁/σ₂ → s₀ < 0, s_min = 0
s_0=-0.57
s_{min}=0.00
case 1: ρ < σ₁/σ₂ → 0 < s₀ < 1
s_0=0.14
s_{min}=0.14
σ₂ < σ₁ with high ρ → s₀ > 1, s_min = 1
s_0=1.57
s_{min}=1.00
σ_V^2
$s = w_2$